



ARIBIA

— LLC —

FAMILY HOLDINGS

Formal Memorandum: Medellín Property Rent Status and Impact on Reassessment

Date: September 4, 2024

From: Nicholas A. Bianchi, President

To: Members of ARIBIA LLC

Subject: Review of Medellín Property Rent Status, Payment Plan, and Contribution to Financial Reassessment

Overview:

As part of the ongoing reassessment of ARIBIA LLC's financial health and asset management, it is essential to address the outstanding rent on the Medellín property, which has significant implications for the business's liquidity and overall financial stability. This memo serves to formally document the current status of rent payments on the Medellín property, outline the financial shortfall, and propose a payment plan to recover the owed amounts. This will contribute to the overall reassessment of the company's assets, liabilities, and ownership interests.

Please note that while Luisa Arias's mother and brother currently reside in the Medellín property, this does not negate the responsibility to pay rent as per the business agreement.

1. Medellín Property Rent Overview:

The Medellín property was acquired by ARIBIA LLC as a business asset with the expectation that it would generate monthly rental income to support business operations. The monthly rent has been set at \$400.00 for the property, effective from September 2023. The following summarizes the rent status:

- Monthly Rent: \$400.00
- Period Evaluated: September 2023 - September 2024
- Total Rent Due for Period: \$4,800.00

2. Rent Payment Status:

The following months have been paid and remain current:

- March 2024: Paid (\$400.00)
- April 2024: Paid (\$400.00)
- May 2024: Paid (\$400.00)

However, the following months remain unpaid, with a total of 11 months past due:

Due Date	Amount Due	Status
September 2023	\$400.00	PAST DUE
October 2023	\$400.00	PAST DUE
November 2023	\$400.00	PAST DUE
December 2023	\$400.00	PAST DUE
January 2024	\$400.00	PAST DUE
February 2024	\$400.00	PAST DUE
June 2024	\$400.00	PAST DUE
July 2024	\$400.00	PAST DUE
August 2024	\$400.00	PAST DUE
September 2024	\$400.00	UNPAID

- Total Outstanding Rent: \$4,000.00
- October Rent Due: \$400.00
- Projected Total Due by October 2024: \$4,400.00

3. Proposed Payment Plan:

Recognizing that the outstanding rent creates a significant financial burden, ARIBIA LLC is proposing a structured payment plan to allow for gradual repayment of the outstanding balance while maintaining future rent obligations.

Proposed Plan Details:

- Outstanding Rent Repayment: \$4,000.00
- New Monthly Rent Payments: \$400.00
- Proposed Payment Plan:
 - Starting October 2024, Luisa Arias will be required to pay \$200 per month in addition to the current monthly rent of \$400, totaling \$600 per month until the outstanding balance is paid off.
 - This payment plan would continue for 20 months, from October 2024 to May 2026, or until the total amount of \$4,000 is fully repaid.

Payment Start Date	Monthly Payment	Total Due (Rent + Plan)
October 2024	\$200 (past due) + \$400 (rent)	\$600
November 2024	\$200 (past due) + \$400 (rent)	\$600
...	...	...
May 2026	\$200 (final payment) + \$400 (rent)	\$600

4. First Payment Deadline:

In order to implement this plan, Luisa Arias must:

- Accept the payment plan by Friday, September 6, 2024, and
- Make the first combined payment of \$600 (\$200 toward past due + \$400 for current rent) by Friday, September 6, 2024.

Failure to make the first payment by this deadline will result in further action, including the reassessment of ownership percentages and other legal remedies.

5. Impact on Business Reassessment:

The outstanding balance, combined with the payment plan, will be considered during the reassessment of ownership percentages, financial contributions, and asset allocations.

The unpaid rent for the Medellín property is directly impacting the company's cash flow, which affects ARIBIA LLC's ability to meet its financial obligations.

Failure to meet the terms of the proposed payment plan will necessitate further action, including, but not limited to, a reassessment of ownership stakes, the collection of unpaid debts through legal avenues, or forced sale of the property to recoup losses.

6. Course of Action:

1. Immediate Payment Plan Agreement:

Luisa Arias must confirm acceptance of the proposed payment plan and make the first payment by September 6, 2024. This will allow us to implement the plan and stabilize ARIBIA LLC's financial outlook.

2. Continued Monitoring:

Rent payments for the Medellín property will be closely monitored. If payments are missed, ARIBIA LLC will initiate legal action or other steps as necessary.

3. Impact on Ownership Stakes:

Should Luisa Arias fail to comply with the payment plan, her ownership stake in ARIBIA LLC will be adjusted to account for her non-performance on financial obligations.

7. Conclusion:

The non-payment of rent on the Medellín property has created a significant financial burden for ARIBIA LLC. The proposed payment plan is an attempt to recover these funds gradually while maintaining future rent obligations. Moving forward, strict adherence to this payment plan is essential to avoid further financial and legal consequences.

Confirmation of acceptance and first payment are required by September 6, 2024. Failure to comply will result in immediate action, including potential ownership stake reassessment and legal proceedings.

If you have any questions or would like to discuss further, please do not hesitate to reach out.

Signed:

A handwritten signature in black ink, appearing to read 'N. Bianchi', followed by a horizontal line.

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Distribution:

- Luisa Arias
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